ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - BOND TRADING - TRENDING DAYS

ICT Monthly Mentorship

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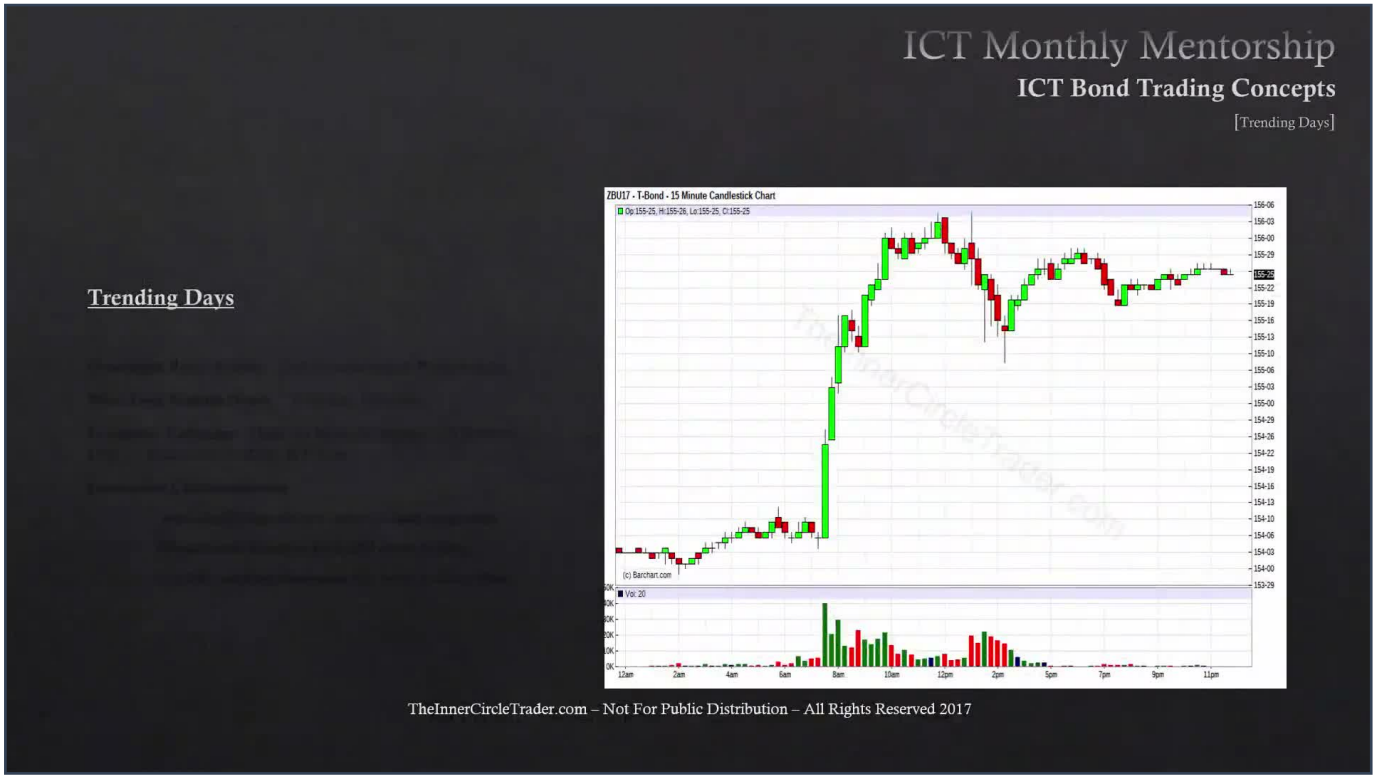
Our topic is about commodities. Everything mentioned in these teachings should be viewed in light of a paper trade only. Welcome back to the June 2017 content, ICT Mentorship. This lesson covers ICT Bond Trading - Lesson Four: Trending Days.



Trending days are what traders are looking for: volatility, movement, expansion activity, and animation in price, all promoting easier trading. Before we find them, let's look at some characteristics:

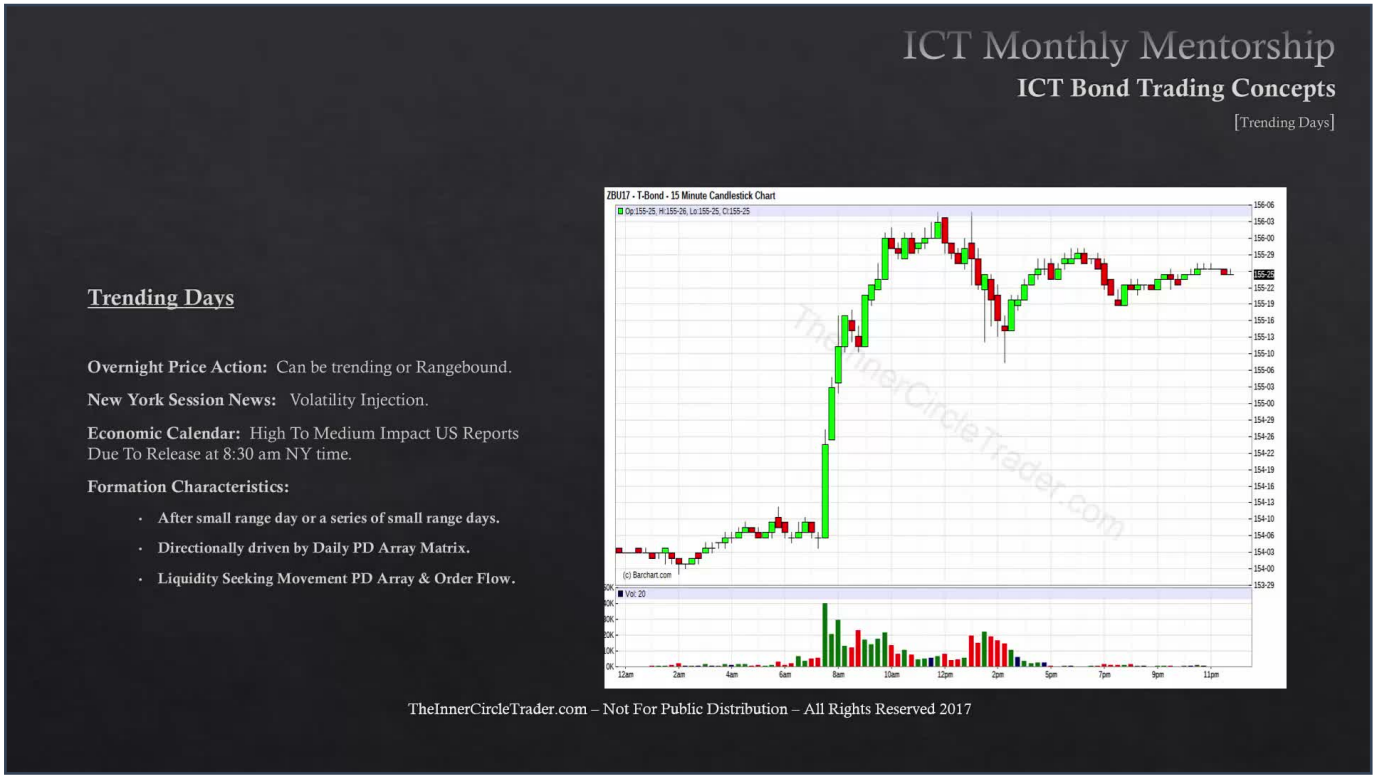
- Overnight price action can be trending or range-bound, but it's never a precursor for a trending day.

- New York session news: We're expecting a volatility injection. The economic calendar will show high to medium impact U.S. reports due to release at 8:30 a.m. New York time.

- Formation characteristics: Generally, trending days or large range expansion days are typically seen after small range days or a series of small range days.

- They are directionally driven by the daily PD array Matrix.

- They are liquidity seeking movement, PD array, and Order flow based.



We're looking for that volatility filter where the ranges get small in the daily chart. If the daily chart shows a previous day being small range compared to the last few days, or price has contracted over a series of trading days (smaller, smaller, smaller in state and small trading ranges), we're due for a range expansion.

If you couple that with the fact that these small ranges have just recently traded down into a discount array, and the economic calendar is calling for high to medium impact news reports at 8:30, we're expecting a volatility injection. This sets the stage for an expansion from discount to Premium.

The reverse is seen when the ranges are small in the daily chart and price has recently traded up to a premium array. Again, volatility injections are expected when the 8:30 News embargo lifts, triggered by high to medium impact news reports. When you see those things, we can expect an expansion day on the downside from a premium array.

CASE STUDY: JUNE 14, 2017 - TREASURY BONDS AND EURO DOLLAR

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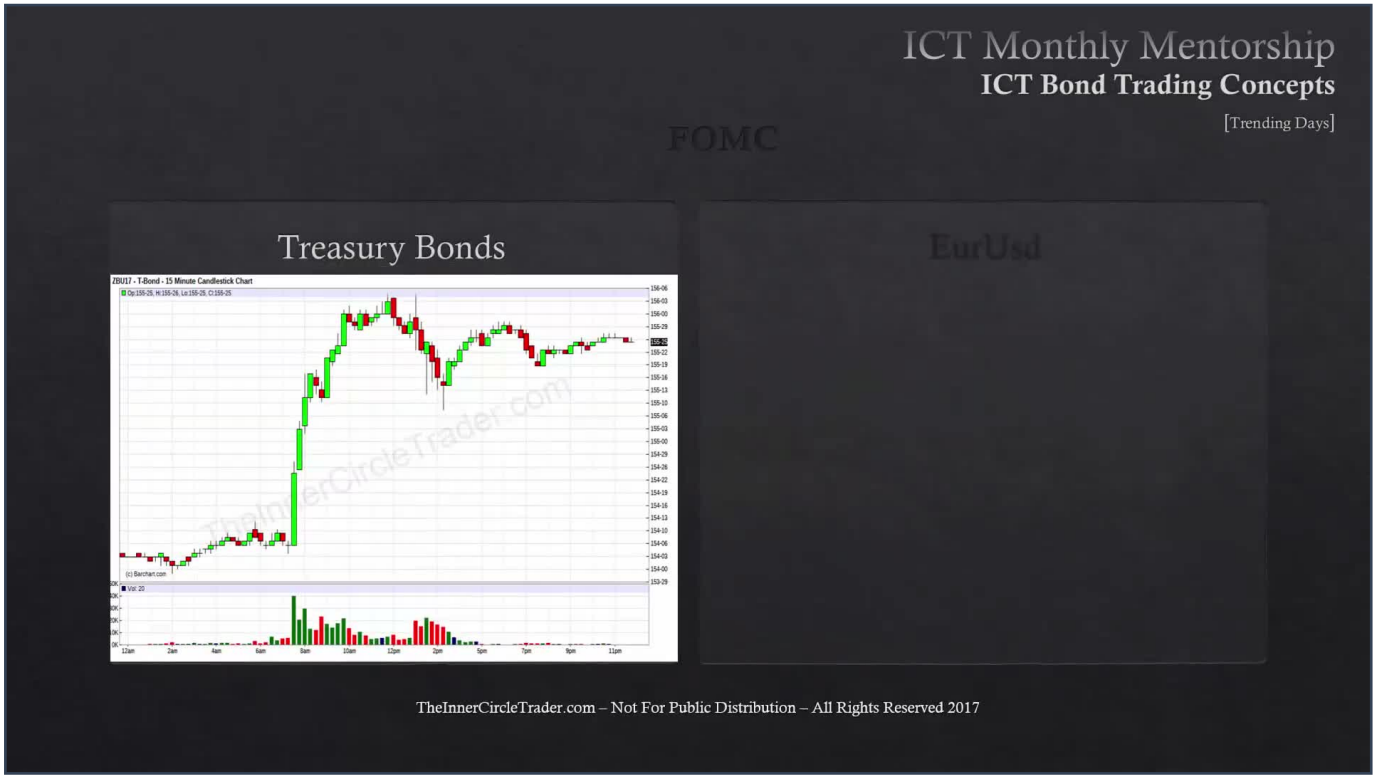
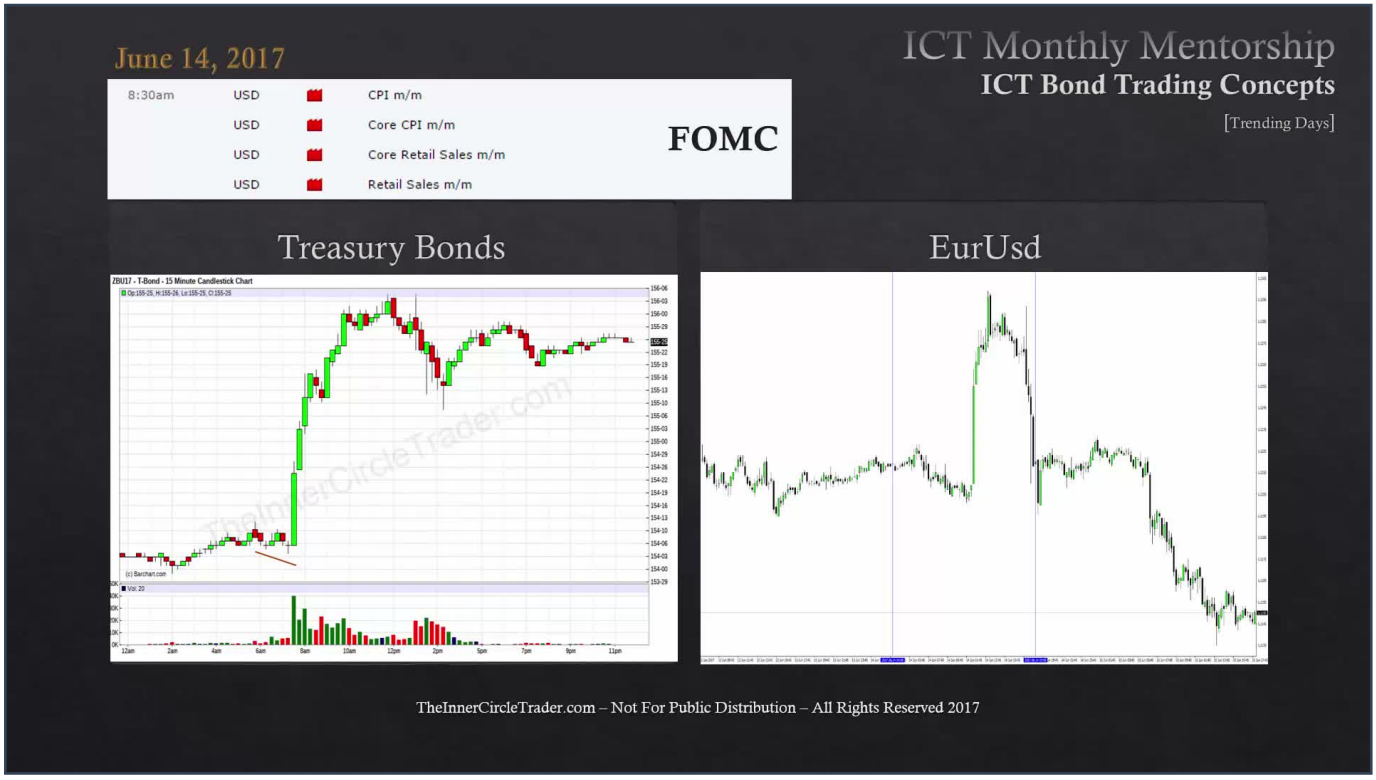
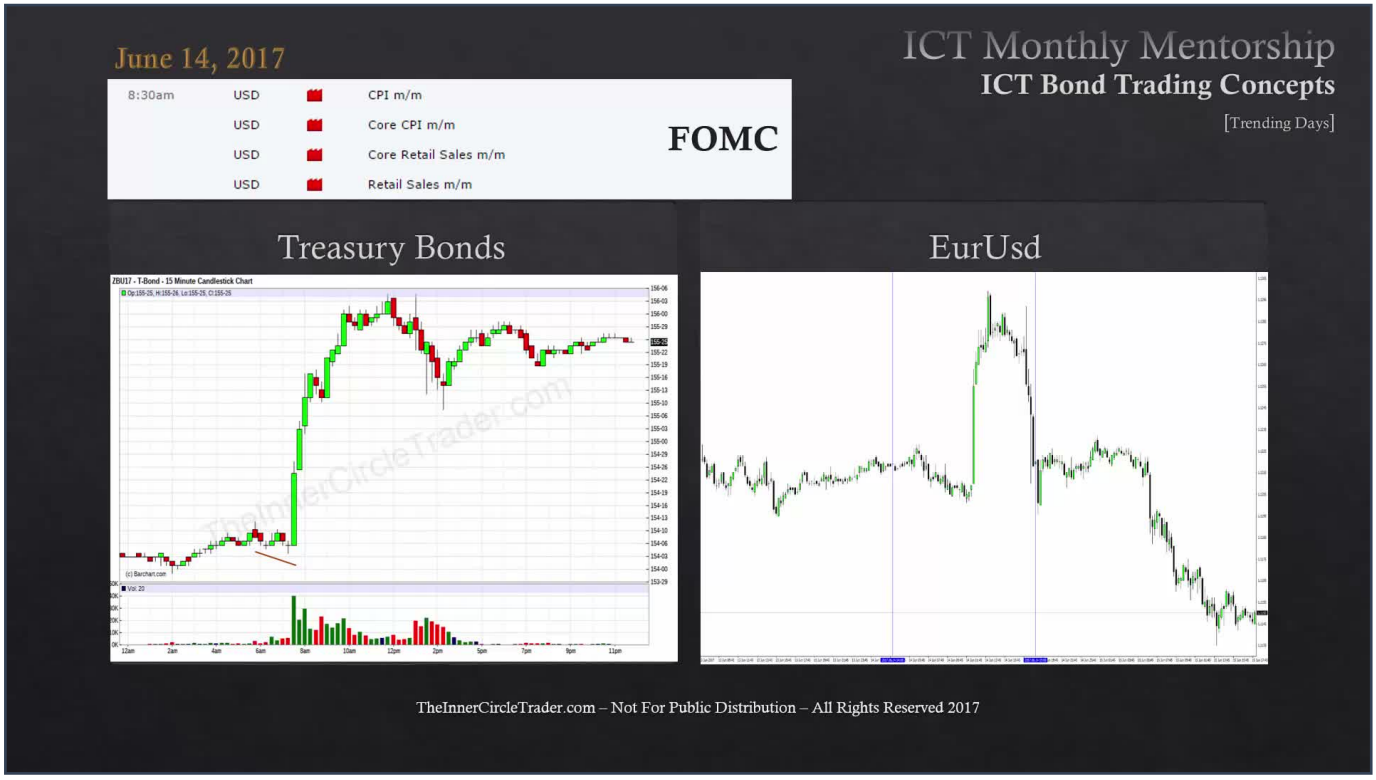


Let's take a look at the treasury bond market. Focus on these lows here. As price went lower here, that lower low in the treasury bond was a trigger. We'll look at the catalyst for that move that caused that big run up in the treasury bonds. Notice on the same trading day in a New York session, the euro dollar vaulted higher. We didn't stay in small ranges; we exploded on the upside. There was a lot of animation, a lot of movement, and a lot of energy. The precursor and the release of that energy was directly related to the treasury bond market.

This happened to be on June 14, 2017. This is the economic calendar for the New York session at 8:30 a.m., and it also was FOMC. I'm showing you this example and another one as well because the rules are that we're generally going to be waiting for FOMC. In other words, we are not trying to be active; we don't want to trade the FOMC afternoon session. But we can trade the morning session if we have a volatility squeeze, small ranges, and we know that we traded from a discount array or a premium array.



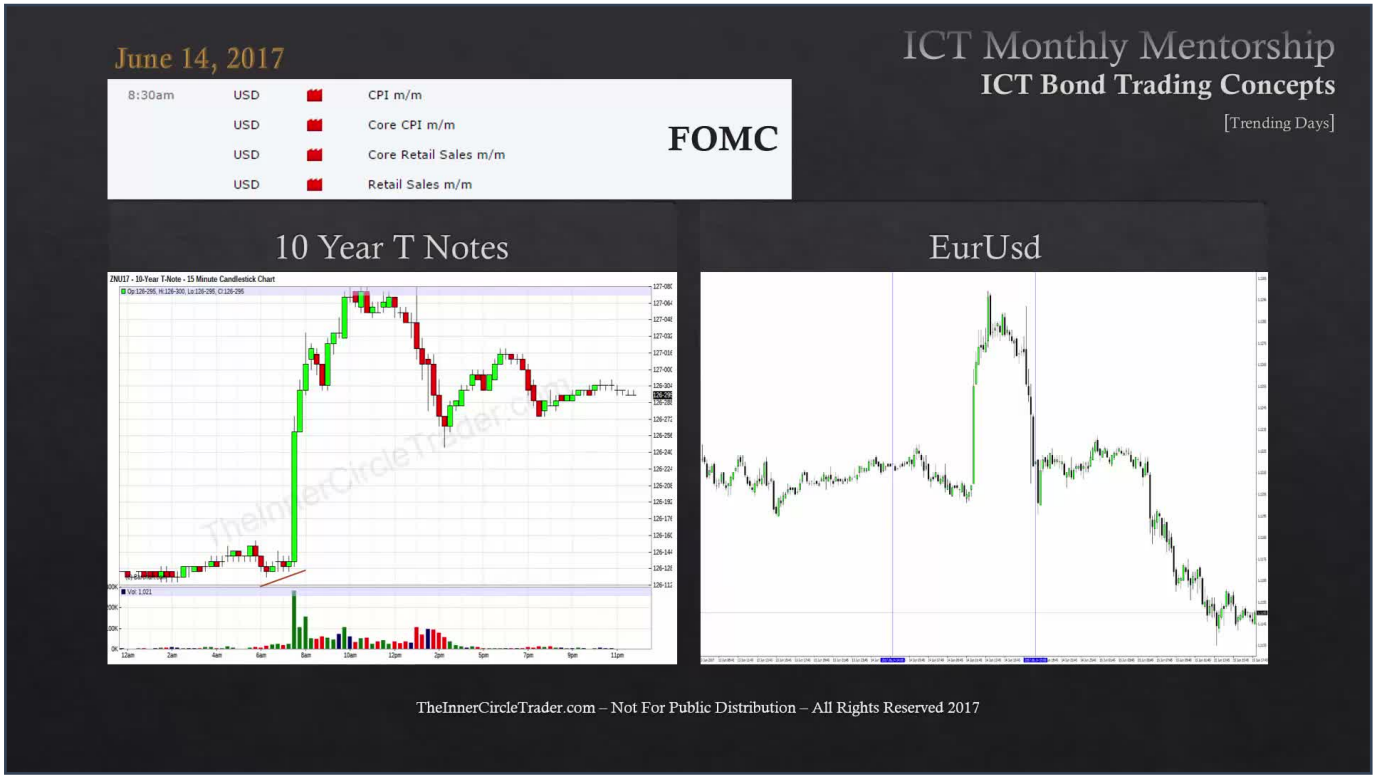
We know there's going to be an expansion. We know that the PD array Matrix and institutional order flow are suggesting a directional bias. We have injections of volatility based on the economic calendar. FOMC is always typically at 2:00 p.m. New York time, so we can trade the morning session but we cannot be in the afternoon trading because of the volatility that may be seen by way of the economic news release around the FOMC announcement or rate decision.



Let me take your attention back to that small little area here in the treasury bond market. The lower low going into the opening, or in this case, it's the 8 to 8:30 a.m. New York time (the chart shown here is in Central time, so it's 7 to 7:30 Central, which is 8 to 8:30 New York).

When we see that lower low in the bond market, the stage is set; we're expecting higher prices. I outlined it before the fact in the live session on the 14th that we're expecting a buy stop run or expansion to the upside. We were at a discount on the two-hour chart, and we have a lot of dollar-based news events occurring and FOMC later on, so we have to keep our focus on primarily the AM session.

But look at the lows in the treasury bond here in relationship to the 10-year note. Notice that it did not go lower. That's our trigger; that's where we see the professional accumulation. The buyers are coming in strong; they're buying up the debt instruments because their insight is greater than ours. And if they're stepping in, remember back to the sniper series, the displacement that's caused by smart money. They don't cause small little moves; when they step in, it's noticeable, as you can see here in price.



You see the divergence between the 10-year and the 30-year. I don't need to pull up the five-year because we did it actually during the live session on the 14th. But the long and short of it is, we have the energy release in price where no longer is price being shackled, where it's being held in consolidation or contraction. Price is being permitted to move dynamically because of the bond market's condition. And notice also, again, look at the euro dollar at the same time in New York session. We had an explosion in price action, and volatility was allowed to be seen in price action.

CASE STUDY: JUNE 2, 2017 - TREASURY BONDS AND EURO DOLLAR

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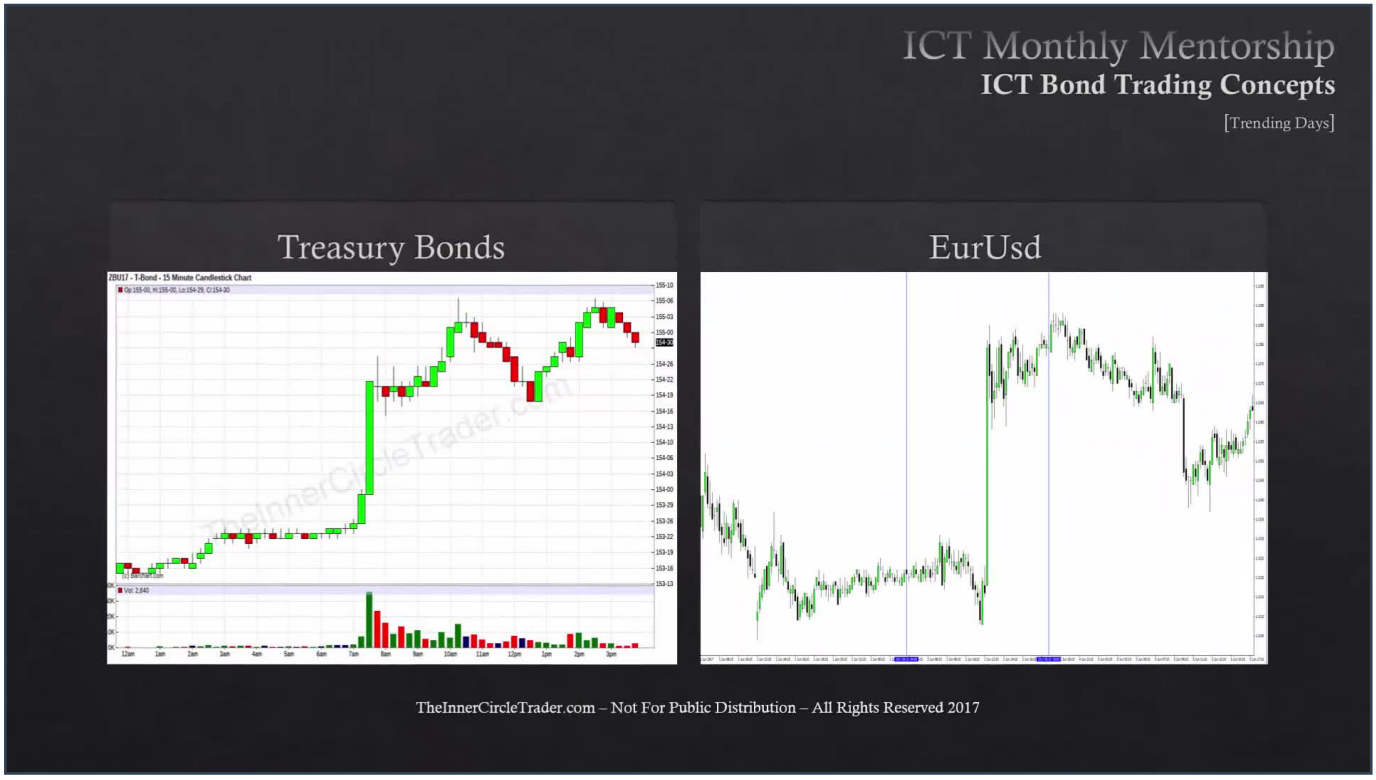
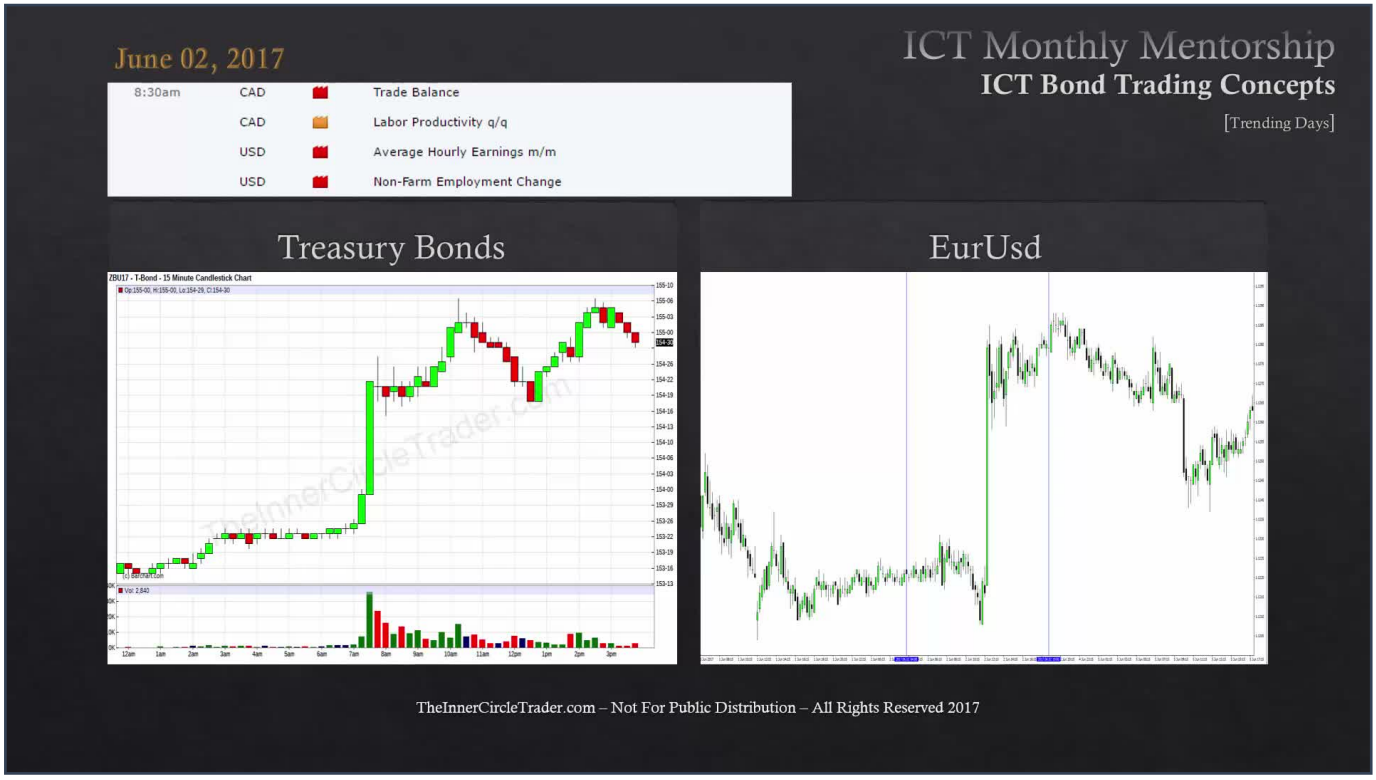
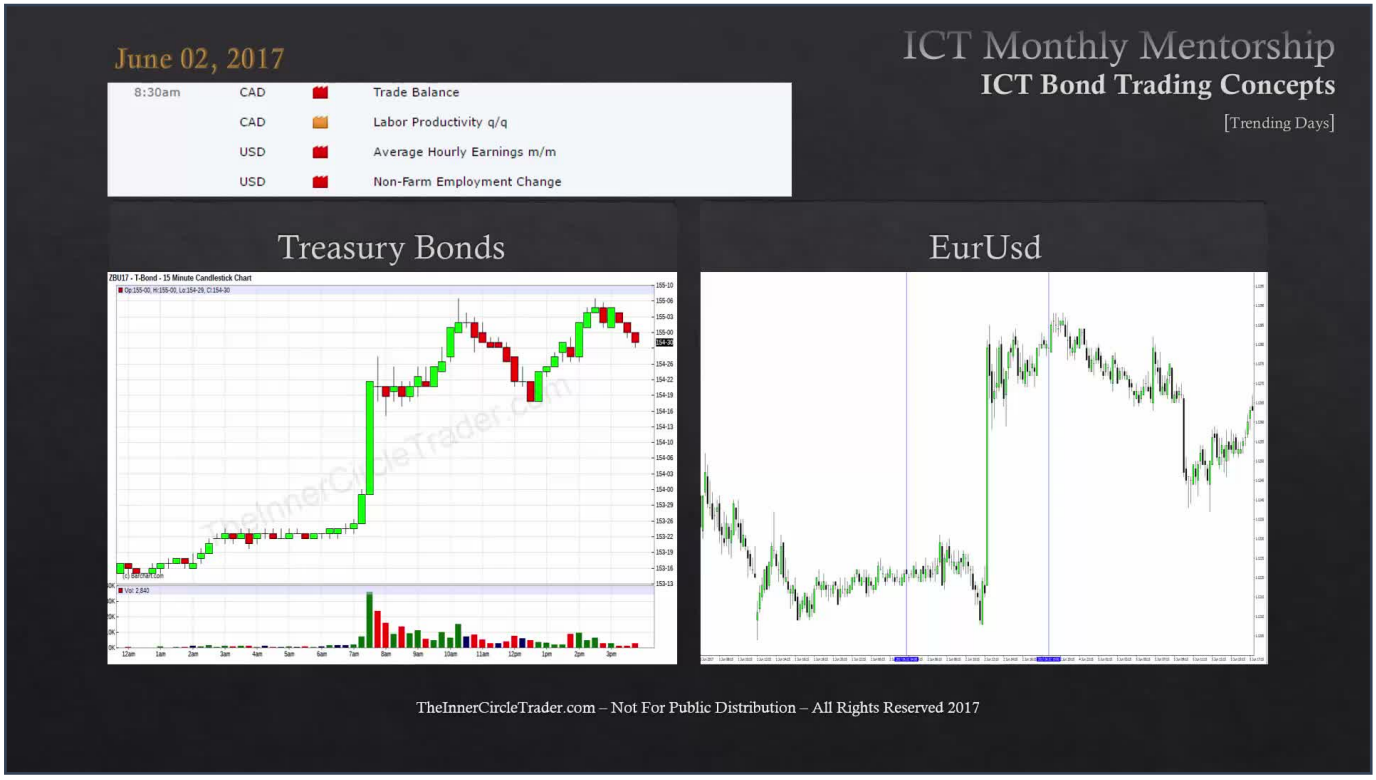


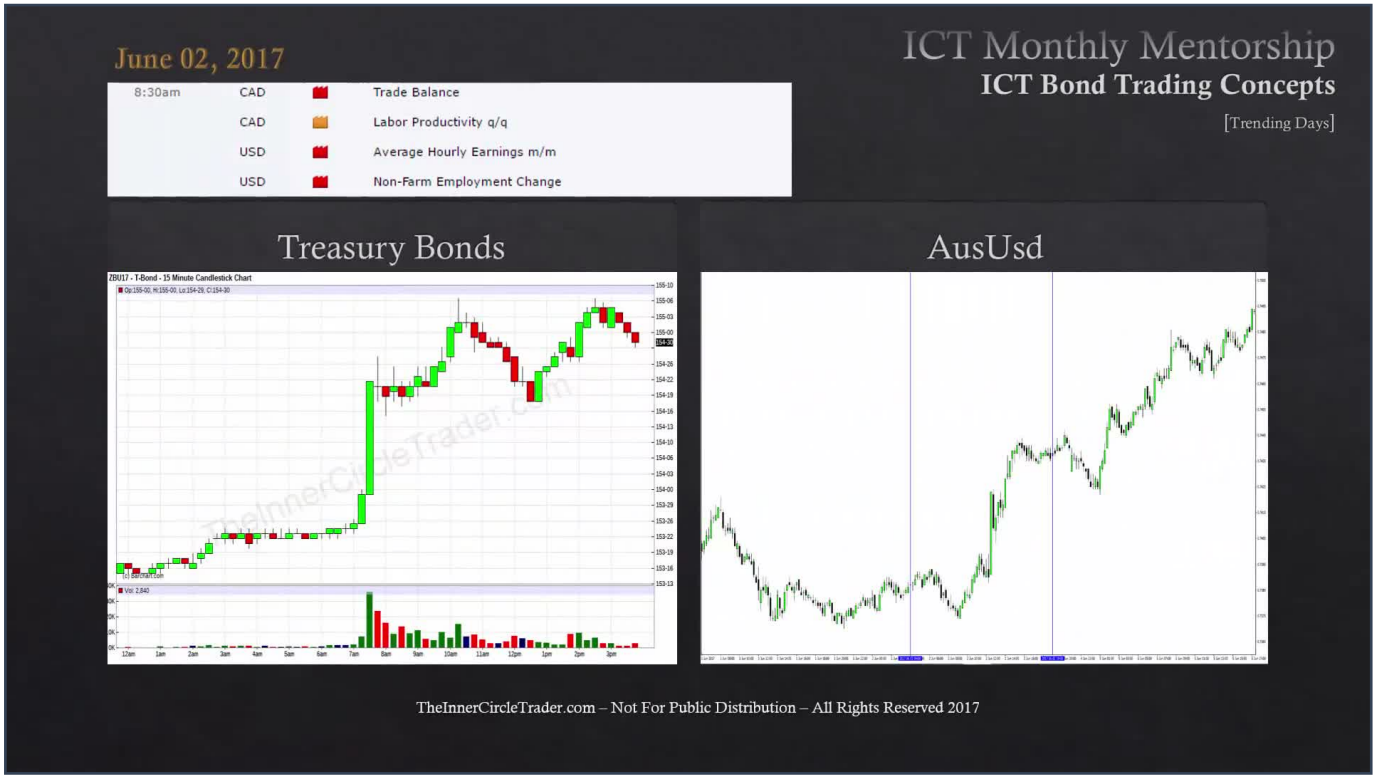
Let's take another day. Now we're going to look at June 2nd, 2017. This is the economic calendar here for the New York session, so we had some heavy-hitting news coming out around dollar-based. You can see the euro dollar here, while the treasury bond was permitted to trade higher and trend higher, a big explosive up day. That was also seen to allow the euro dollar to have an explosive price action as well. So we had again price in small consolidation then permitted to expand.



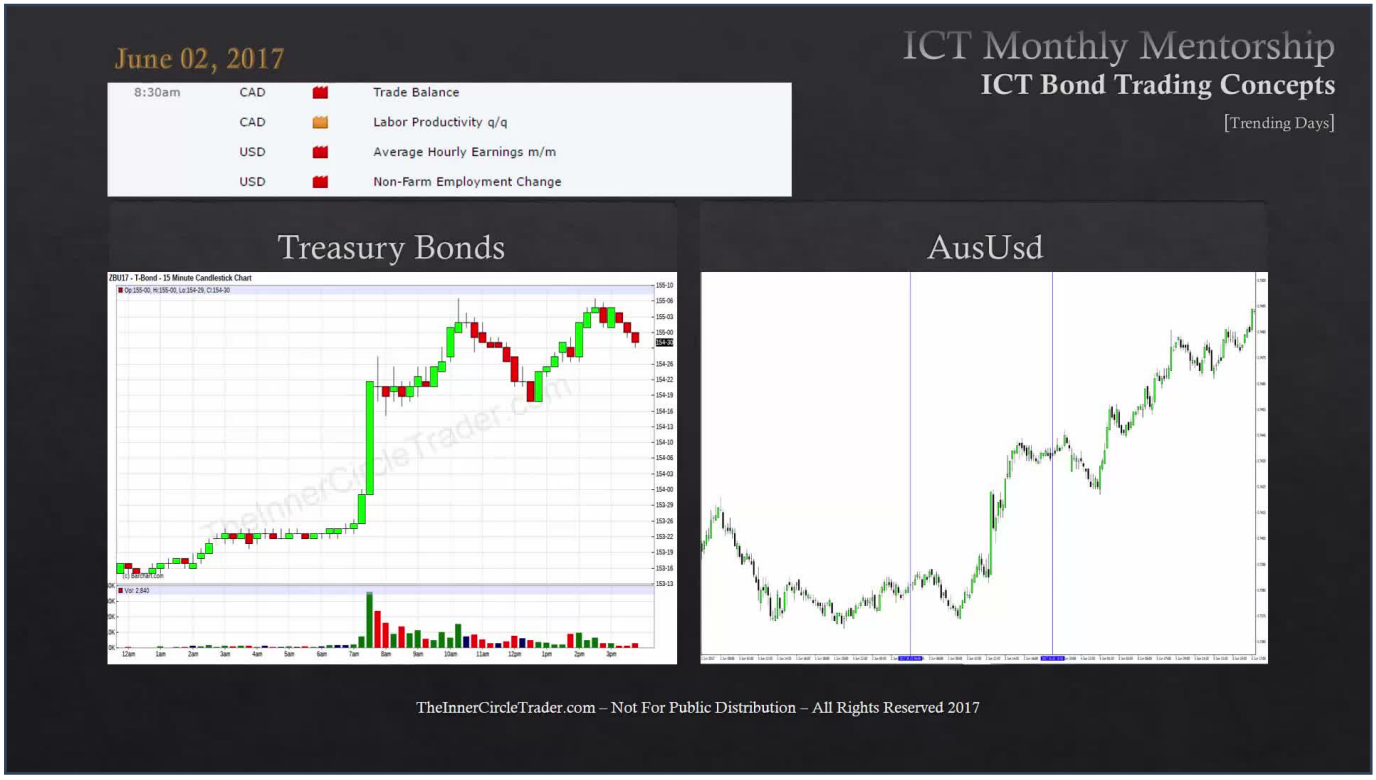
Again, I can't stress this enough, when you're looking for trades, you have to have the sponsorship behind it by way of the interest rate markets. And this is the reason why it's important to be following the bond market, looking at the five-year, the 10-year, and the 30-year, and comparing them, doing your analysis on the higher timeframe charts, but focusing primarily on the daily, the four-hour, and two-hour. And that'll give you a really good feel for what price action is most likely going to do in the treasury bonds.



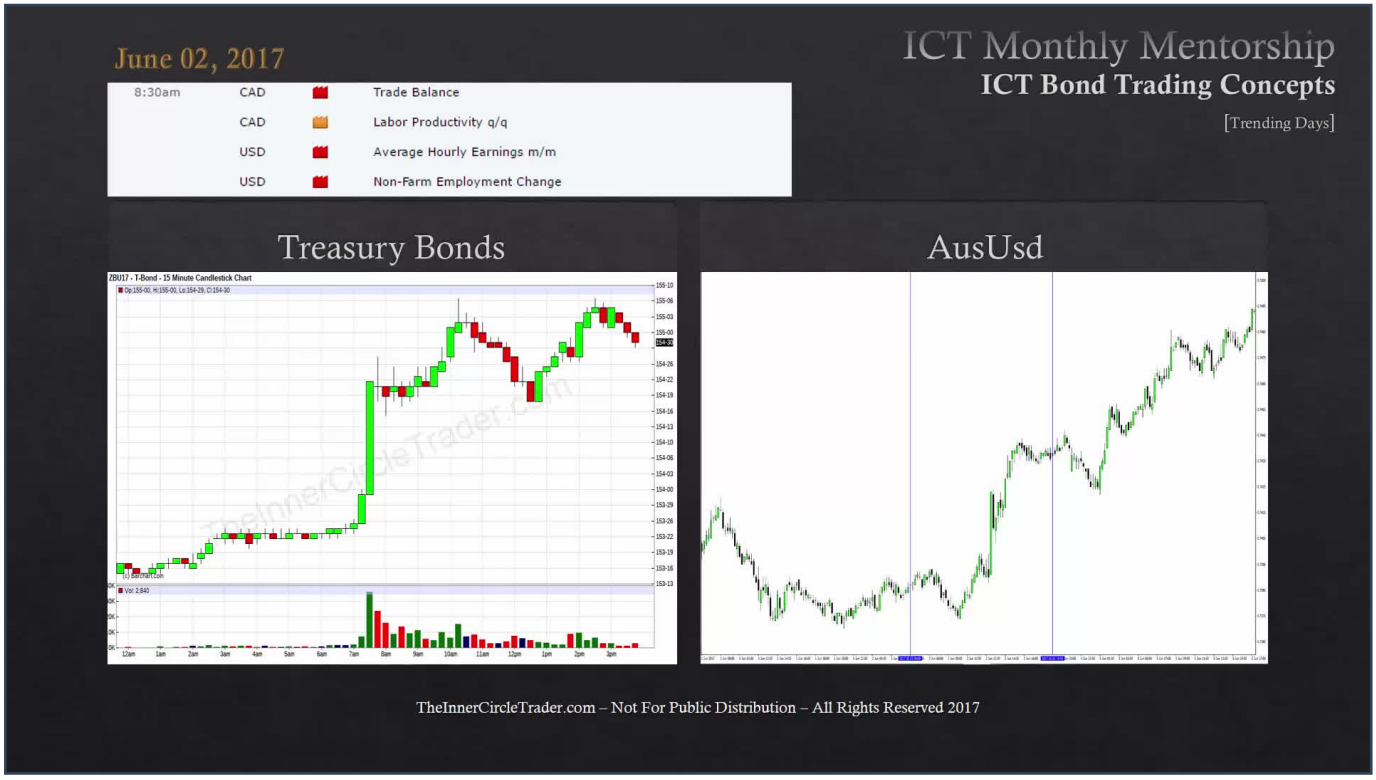
So by looking at them and comparing the likes, when you're bullish at the lows going into that time window of 8 o'clock to 8:30 in the morning New York time, when you see that divergence there and the stage is set for an expansion, and we have volatility injections by way of the economic calendar, we will know beforehand that price will be allowed to expand dynamically across other asset classes. And since we're primarily Forex Traders, we're using this insight to look for opportunities: how big ranges, large moves can occur in the FX Market. Again here, on June 2nd, 2017, euro dollar created a nice buying opportunity in the New York session, lots of volatility.



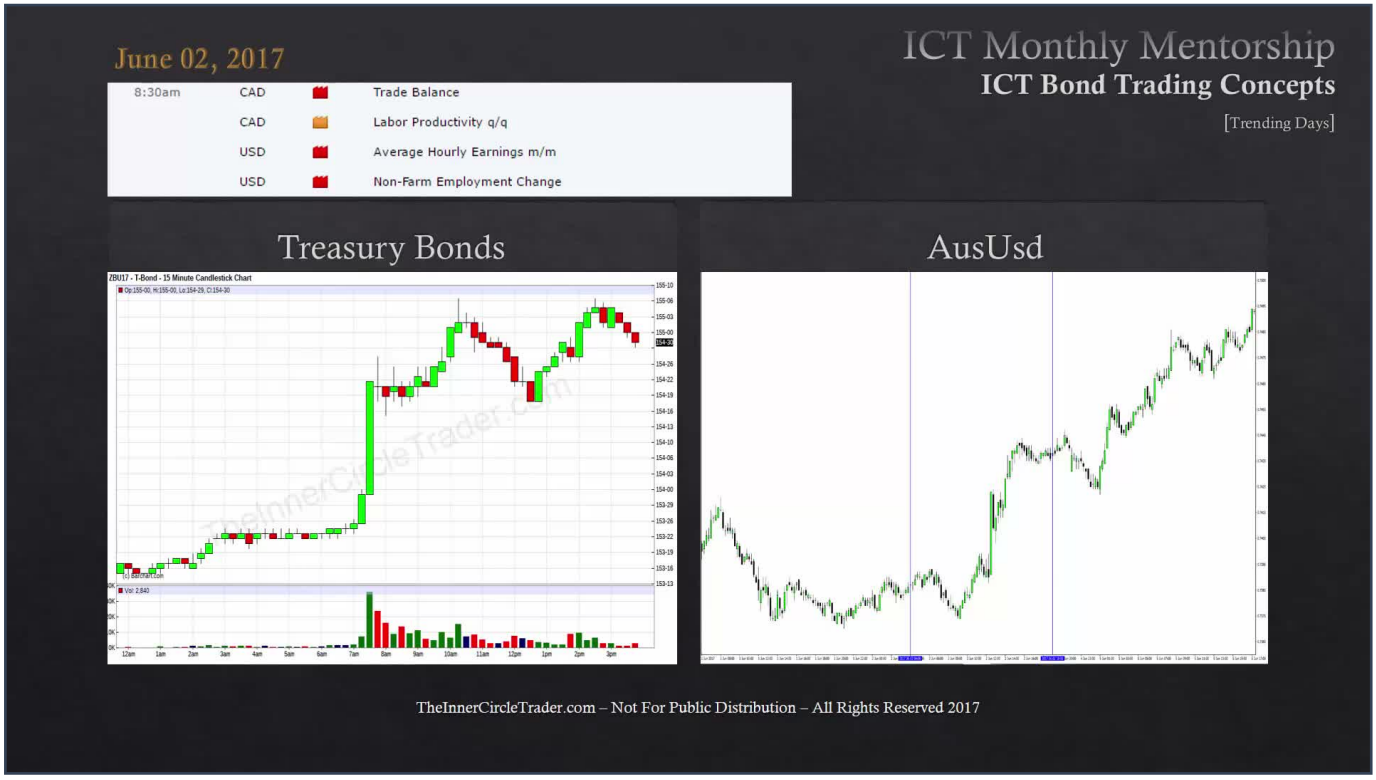
Okay, we're looking at the same June 2nd, so the criteria is still the same as far as it relates to the economic calendar and treasury bond market. But the Aussie dollar also was permitted to have a trending day and exploded on the upside as well. So there was a lot of movement seen in the Aussie Dollar on an intraday basis, and it's all seen by way of a precursor in the treasury bond market.



Now on the 2nd of June, I'm going to save the idea of going in and looking at the lows, but if you go into barchart.com, you can literally pull up the individual days by the calendar day and load up 'NU17' and 'ZV U17' to get the 10-year, the five-year, and the 30-year on this particular day, June 2nd, 2017. And you can see the divergence between the three debt instruments that give us the trigger for sponsorship in the bond market.



When the interest rate market kicks off and it's allowed to move energetically, that's going to promote the idea for all the other asset classes to be able to move. As a short-term trader, as a day trader, this is one of those things that helps you have higher odds. Not perfect, not a panacea, not be-all, end-all. It just means that we have the proper stage to allow for big movement. Big movement as a day trader is essential because you're going to get chopped up if you try to trade like we've been seeing day by day, just going in there trying to force an opportunity without any real relationship to the bond market, because we have to teach it first.



When that is not incorporated and we're trying to trade every single trading day, you can see that it's not going to be optimal results. Now you might get lucky, you might get something in your favor once in a while, but generally losses across the entire month, every single trading day trying to trade, they will whittle away at the big juicy winning days. So you want to really keep your opportunities few and far between and highly selected cherry-picking situations where the perfect criteria is there before you take the trade. As you can see here, there's a common recipe that's occurring throughout the trading opportunities that's being shown here:

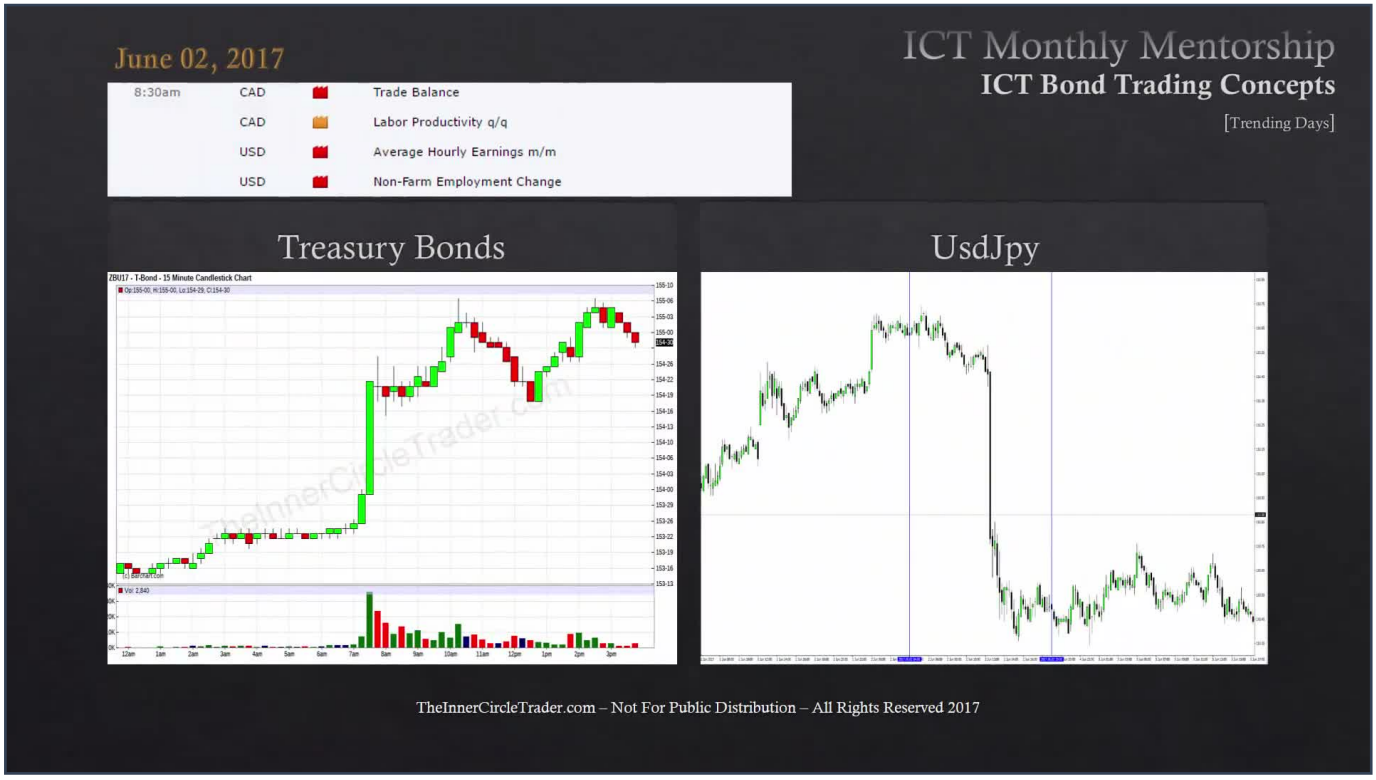
- Big impactful news in New York.

- The bond market has a condition where it's small ranges; we're expecting expansion.

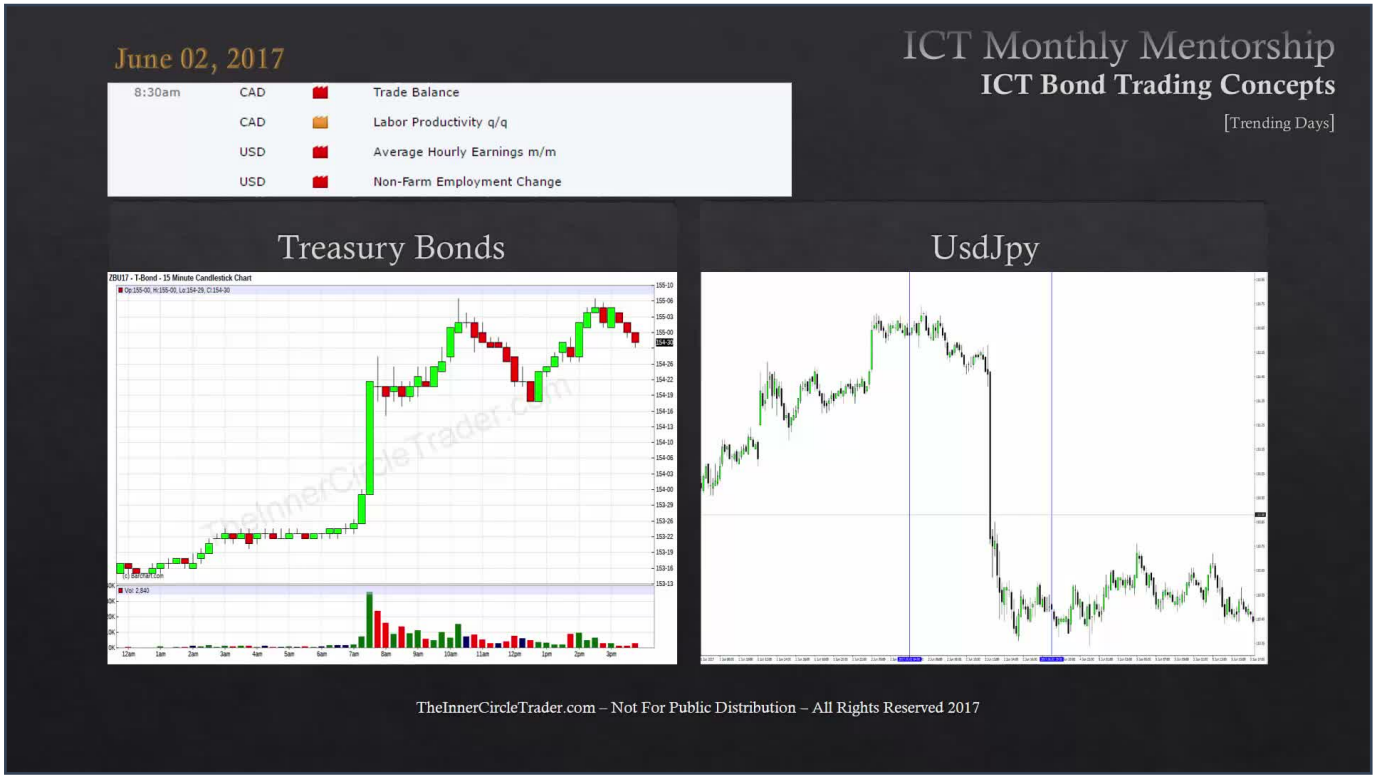
- It's trading at a discount.

- Price is permitted to expand in the bond market, so interest rates are active.

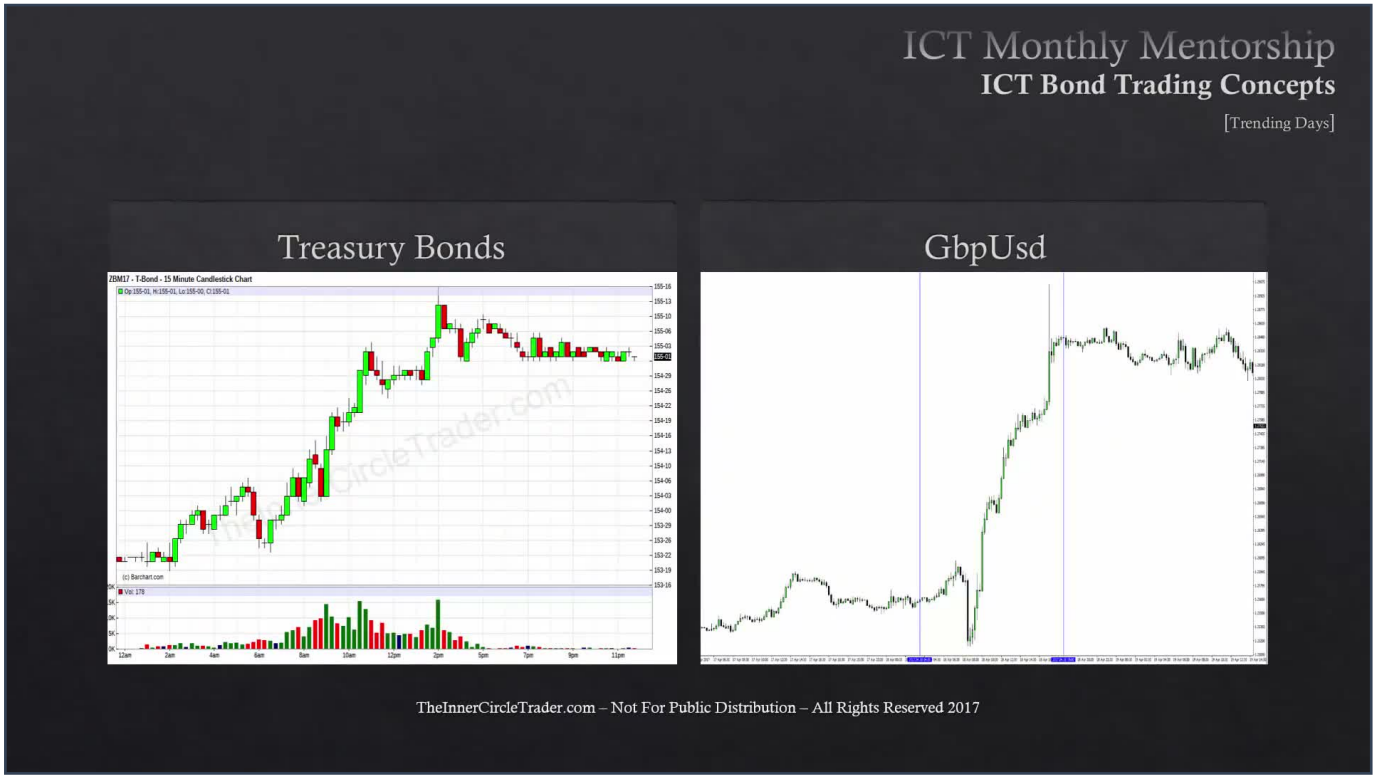
- Therefore, the currency is going to chase yield. That's why we see these dynamic moves so far in the Euro and on the Aussie Dollar on June 2nd.



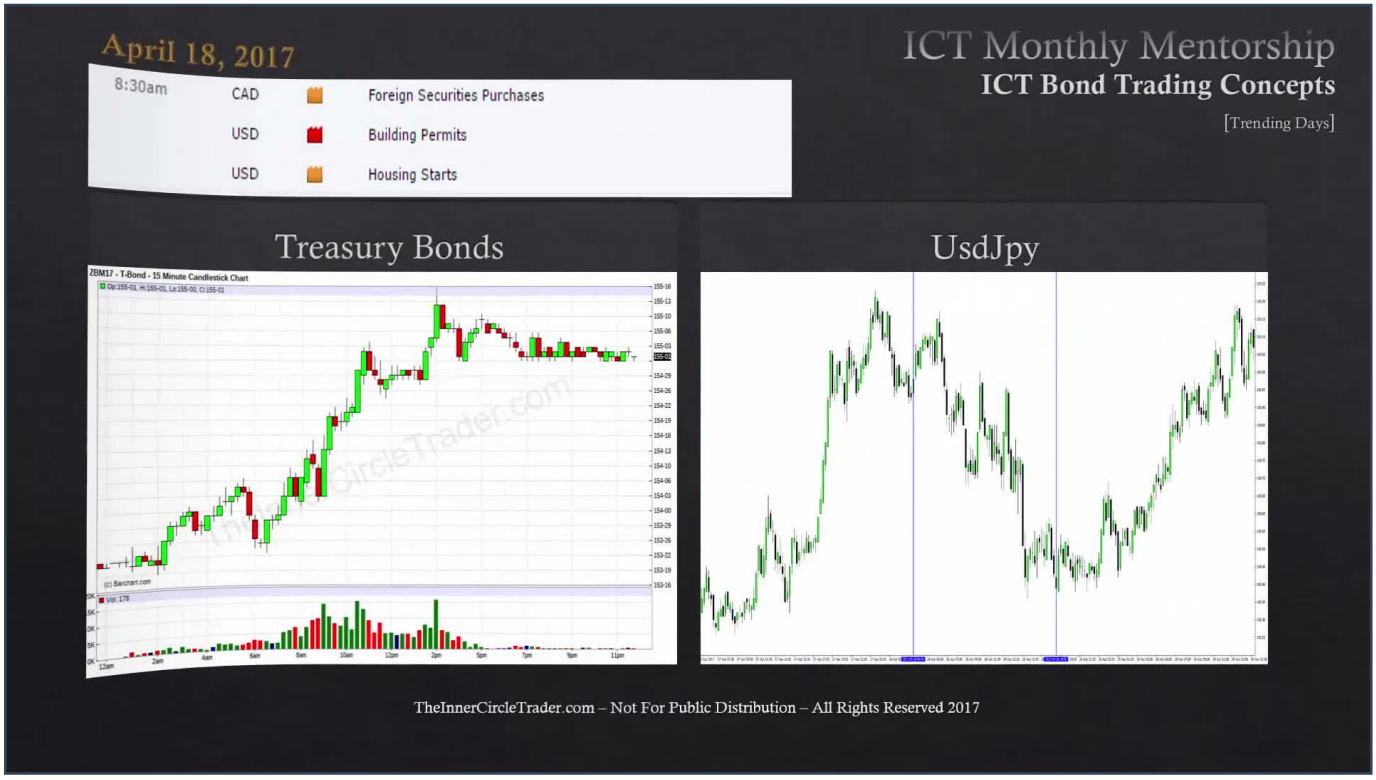
Another example here for June 2nd. So the economic calendar here is the same; treasury bond chart is the same. Now we can see also that the Dollar Yen also had an explosive move, but this time just in reverse terms. The dollar index was bearish; foreign currencies bullish, so that's going to be seen by way of a Dollar Yen decline. It wasn't on a modest decline; it was not a slow, lethargic decline. It was dynamic; it was quick; it was energetic because of the bond market unlocking the volatility. You can't get explosive price action without the participation in the interest rate market.



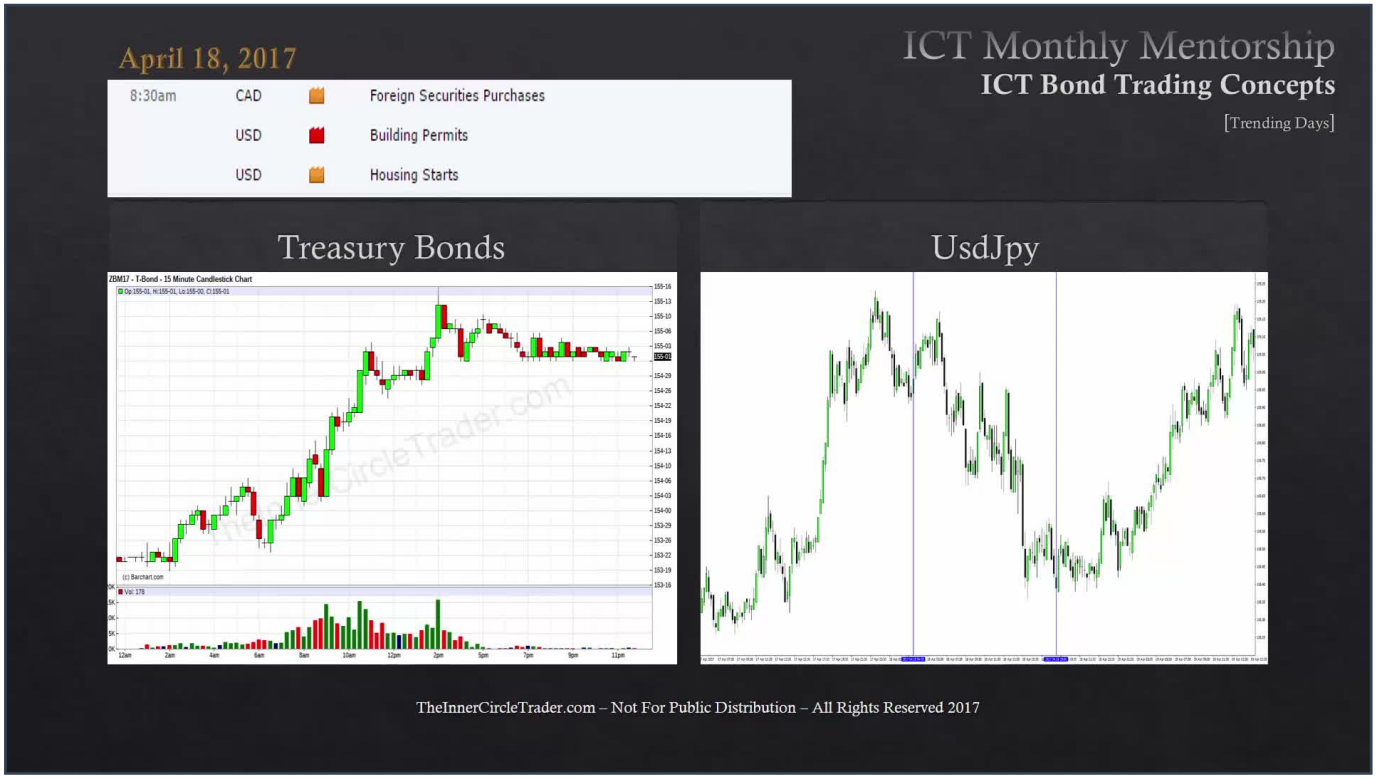
Interest rates, I said this on Baby Pips back in 2010: the key is knowing the interest rates. If you follow that and you follow the bond market, it unlocks everything; it's like tumblers in a lock. So if you're trading without this insight, you're really trading blind. You're going to attribute your wins as skill set based when it was really luck based, because chances are you're going to see that the interest rate market actually helped you behind the scenes, and you may not have known it up until now.



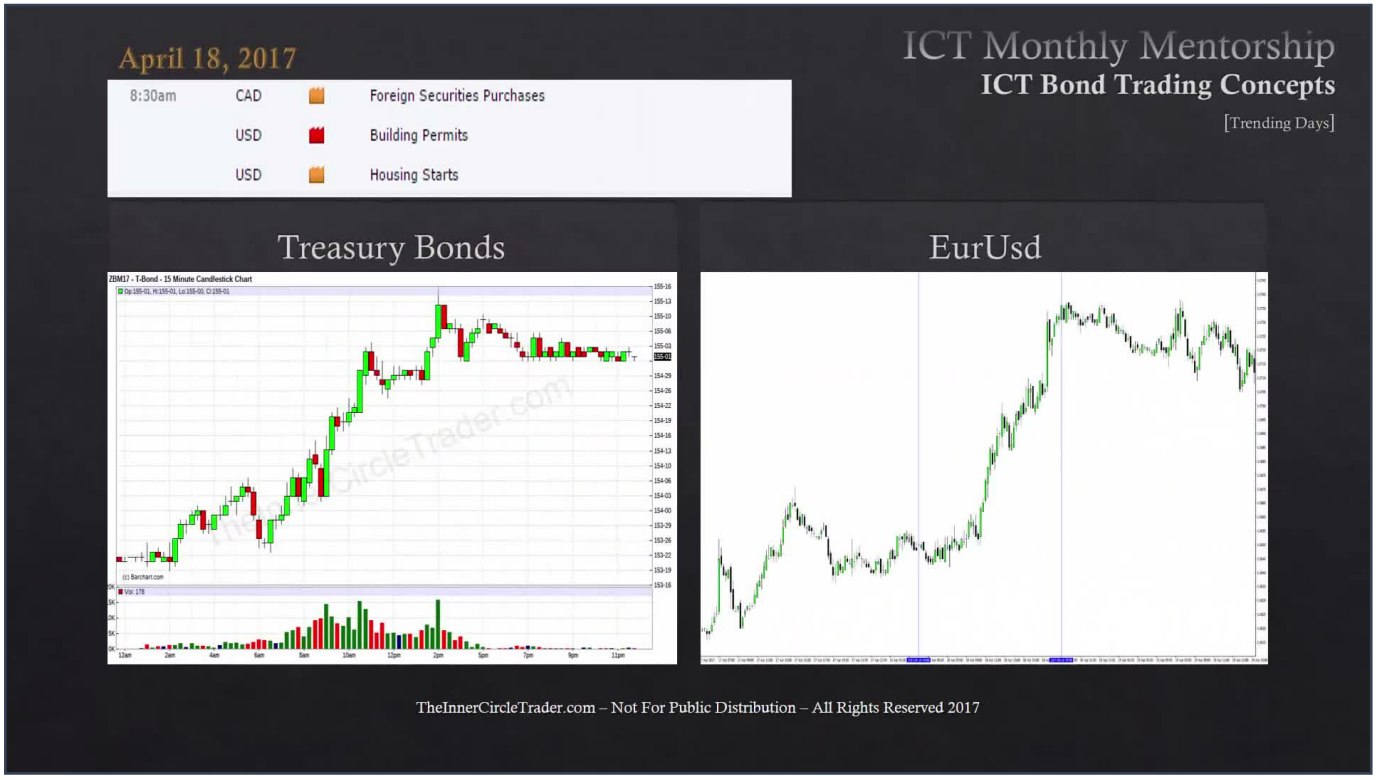
Okay, we're going to look at another day here. This is April 18, 2017. You can see the economic calendar going into the New York session 8:30, so we had a high impact building permits, dollar-based. Treasury bond market also was at a discount array, allowed to trade from a discount expansion, small ranges on the daily, large ranges expected. Big impactful news due out in New York. Price expanded up, created a rather large day for the bond market. The British pound as a result also in the New York session had an amazing day in the British pound, large up day, huge upside potential, all precursor directly related to the bond market.



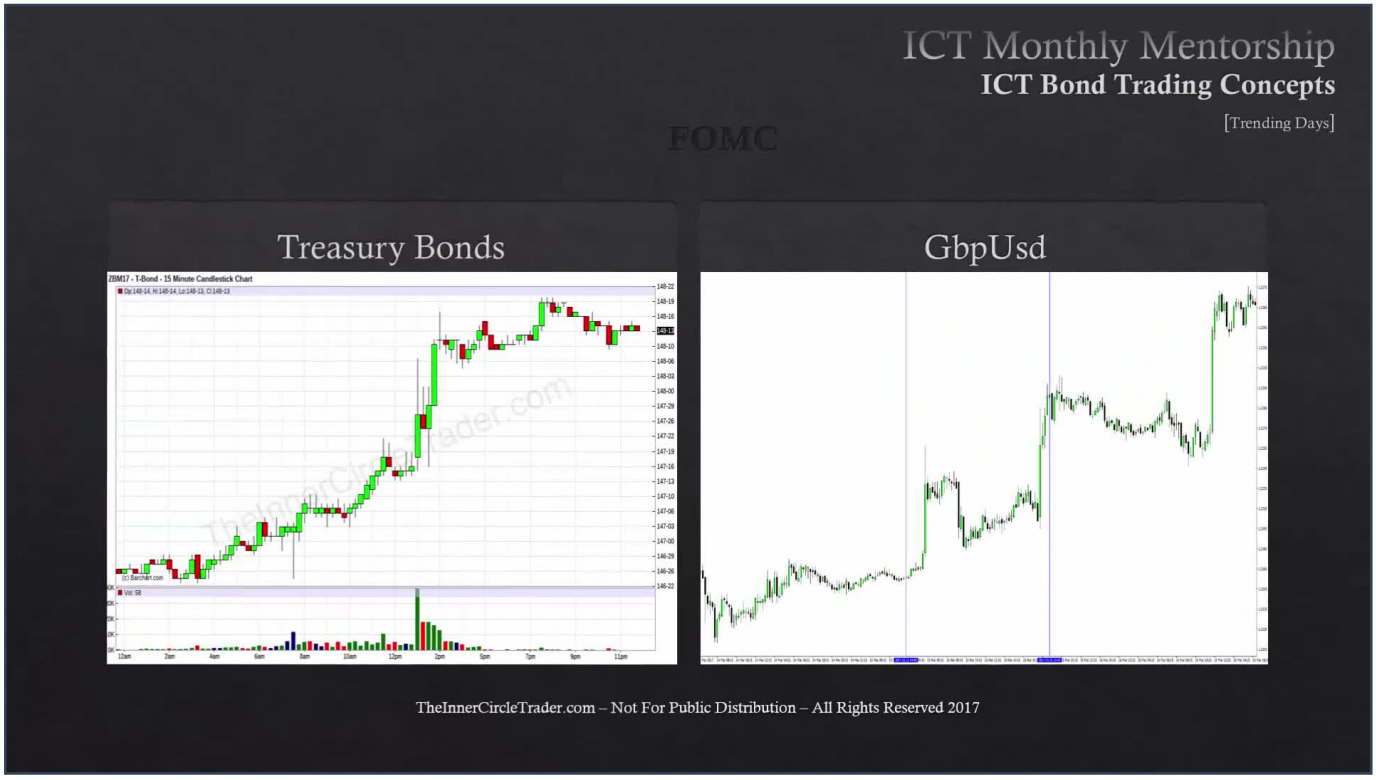
Another opportunity looking at the same day of April 18, 2017. The economic calendar is the same, the treasury bond market chart is the same. Again, you'd be looking at the lows going into that 7 o'clock on the chart, on Barchart.com, because that's going to be 8 o'clock in New York time. And you want to be comparing the lows there because you're going to see the trigger occur between a five-year, a 10-year, and a 30-year note. When that occurs, that buying signal gives you confirmation your expansion move is about to take place. That way, you can see the expansive move take place in the other foreign currencies.



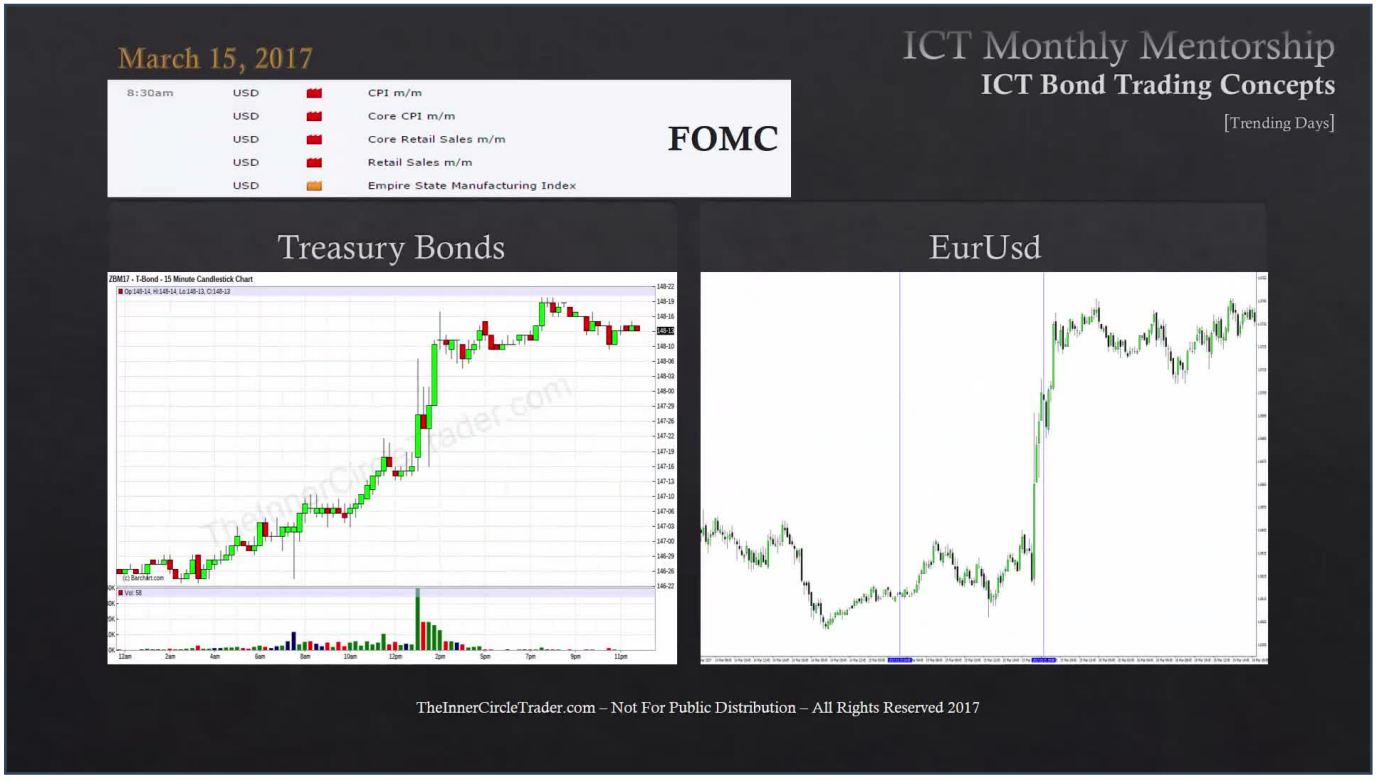
Incidentally, since we're seeing the bond market rally examples here, what that's showing is the interest rates are actually decreasing. So if the interest rates are decreasing, that's going to, more times than not, pressure US dollar down. Foreign currencies will chase higher yield in relationship to that, so that way you see higher foreign currencies when bond markets rally and the dollar index generally looks for lower prices or recesses to lower prices, as seen here in this example and in the previous example with the Dollar Yen. Lower prices in the New York session clearly in order, and we saw that true to form.



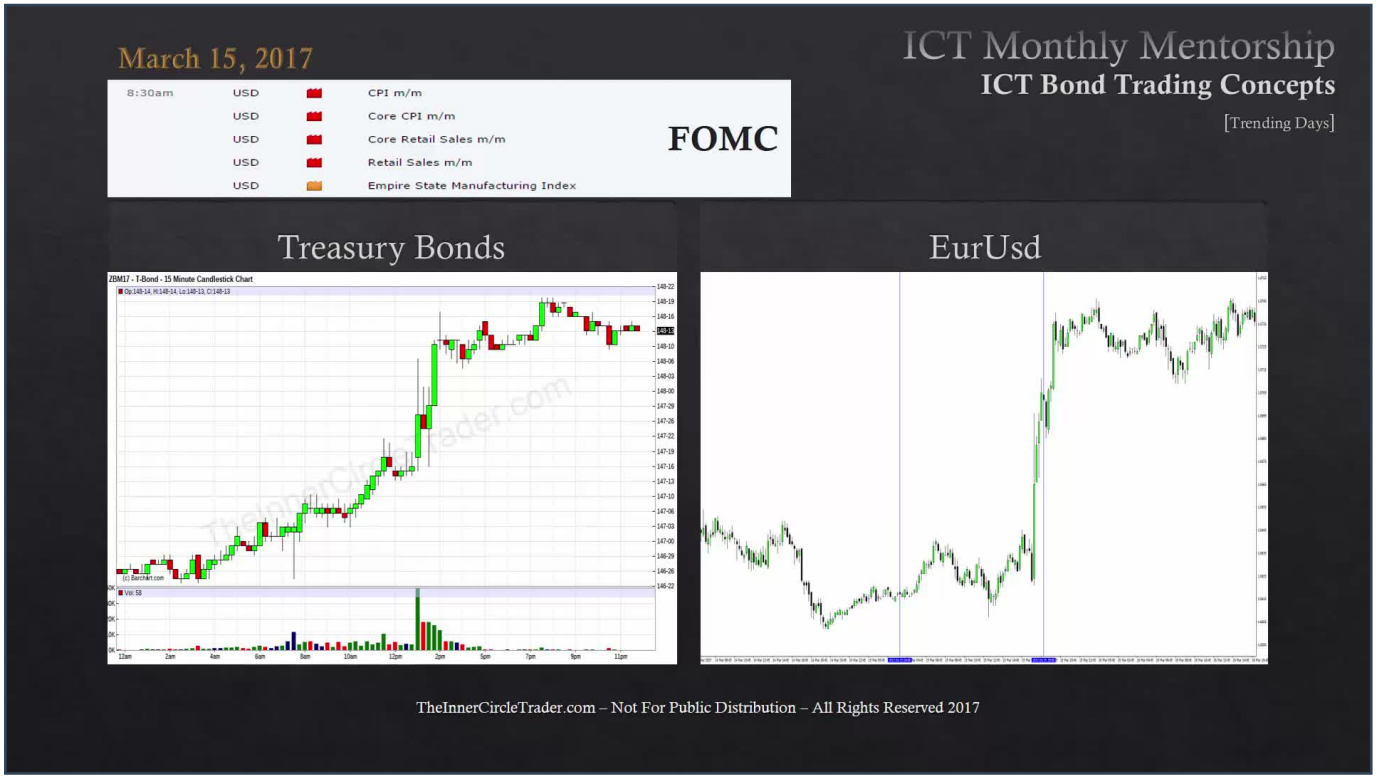
Another example on April 18, 2017. Again, the economic calendar stays the same, the treasury bond market chart stays the same. But now we're looking at the euro dollar. Again, euro dollar with the higher treasury bond move higher, interest rates are declining. So if the U.S. interest rates are declining, as a result, that's going to put pressure on the Dollar on the downside and allow foreign currencies to rally. So it's giving you directional bias, it's giving you magnitude volatility, it's giving you the energetic side of the marketplace it's going to reach for. As a result, you can see here, euro dollar had no problem rallying at the New York open.



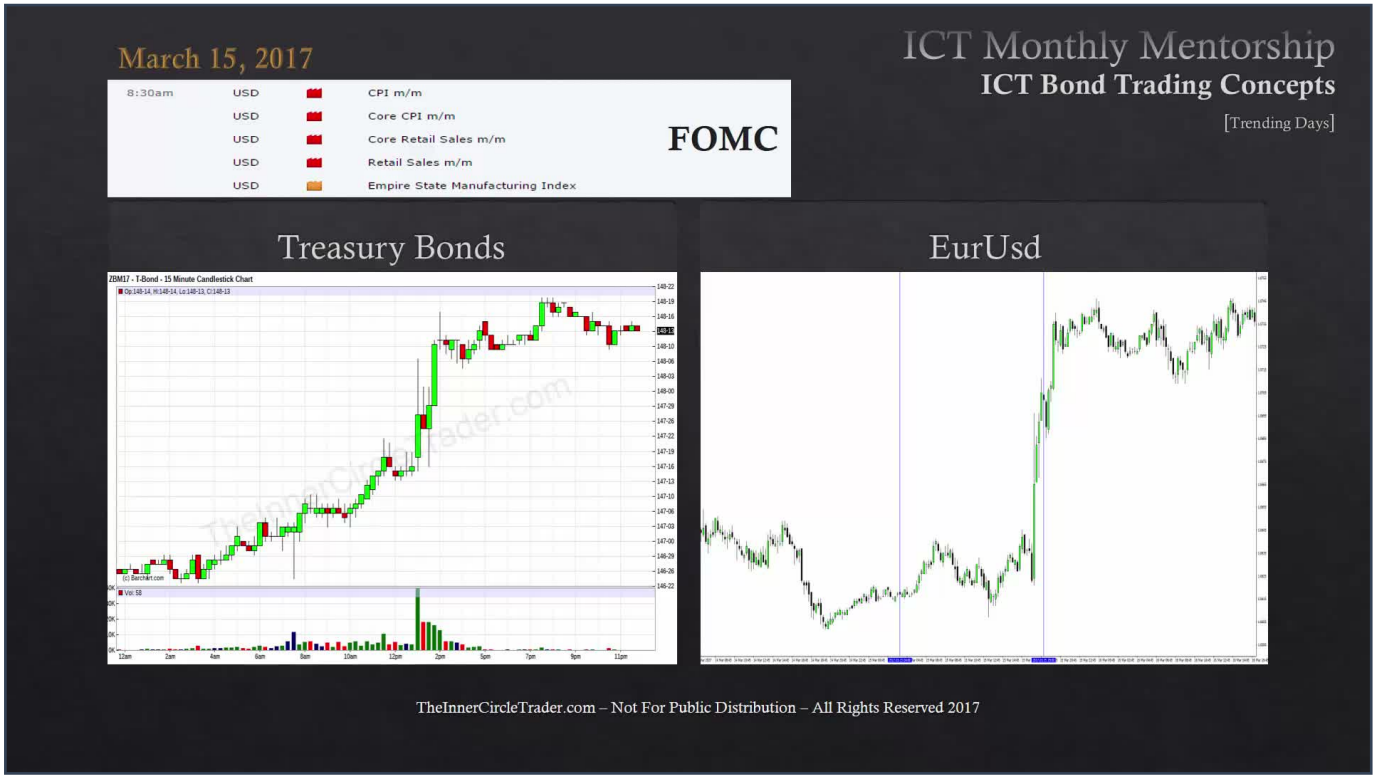
Okay, our last example here for another day. We're looking at March 15, 2017. Our economic calendar is seen here, loaded with high impact news, dollar-based. Treasury bond market, small consolidation on the daily chart. In the 15-minute chart here, we can see that it was absolutely no problem for it to rally at the 7:30 time period on the chart, which means it's 8:30 in New York time. The up move in the treasury bond market is going to send interest rates lower, which is going to pressure dollar lower, allowing foreign currencies to rally. You can see that the dollar fell to the British pound in the New York session as Cable made a really easy attempt to rally in the New York session and then eventually trading higher. Now I'm highlighting this because it's FOMC again, and FOMC we saw that huge move up later on in the afternoon around the 2 o'clock hour, typically when FOMC news drivers hit the marketplace.



Okay, our last example here, looking at the same date, March 15, 2017. The economic calendar stays the same; treasury bond chart just stays the same. Again, it's rallying up from the New York 8:30 a.m. time period when the news hits the market. It's in a discount array, moving away in institutional order flow, bullish on the daily chart. The 15-minute timeframe shows the expansion higher. Euro dollar as a result is allowed to trade higher at the New York session because a higher bond market, which is lower interest rate, is going to send dollar lower as a result, allowing euro dollar to rally against the dollar right at the New York session. Again, later on in the day, we see a nice big move taking place as a result of FOMC.



Knowing these characteristics, knowing these generic principles about price action, about how the interest rates unlock the moves in the marketplace. If you look at how the stock market is allowed to trade also, when we talk about stocks, we're going to come back to this topic as well when we talk about index trading, S&P trading next week when we do next week's teachings on index futures trading, we're going to refer to this phenomenon as well. So I pulled out a few that I've observed over the last few months that stood out. I want you to go through the bond market looking at the five-year, the 10-year, and the 30-year when the market was moving freely. You could find areas on the daily chart of the bond market that did that, and go into those days individually on barchart.com and pull up the individual days and look at the relationship of the trigger that we look for: the divergence between the 10-year, the five-year, and the 30. And what we saw as a result in the Foreign Exchange Market.



So I only gave you a handful of sampling of not just what recently happened in the last couple weeks, but going back all the way to March. And there's a few more examples where you can find a few more moves, but I gave you ones here that you can really focus on. And obviously, there's going to be times when the treasury bond market actually sold off. I saved those examples for you to go in and look as a contrast study. When the bond market was looking to trade aggressively lower, or expansion move lower from a premium array on the daily chart, you're going to see the opposite: where the bond market is declining, which means interest rates are increasing, which is going to cause the dollar to rally and foreign currencies decline. So that's your homework going forward. Put some of your observations on the form, make them available to other members, and I will look forward to you getting back to me with positive feedback because I promise you, if you go through the markets looking for scenarios when the bond market is poised to move in a strong directional based idea and when the ranges have been small, that's a loaded deal for obvious movement in the price. Until next lesson, I wish you good luck and good trading.